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Space | North America

SpaceX Update: More Launches, New Contracts, Higher Valuation

Since our last update, SpaceX completed the 5th and 6th test of Starship, successfully 'reboosted' the ISS, and continued the expansion of Starlink (now at ~6.7k satellites in orbit). Starlink was also approved for Direct-to-Cell (DTC) operations, with rollout on T-Mobile expected in 2025.

Since we published our [SpaceX: Prepare for Liftoff](#) Foundation note in April, SpaceX has continued to show progress across both its Launch and Starlink businesses. In this note, we outline a number of key developments relevant to investors since our previous [update](#) last month.

For our clients who want a copy of our proprietary SpaceX model, please contact your Morgan Stanley sales representative.

Company Events/Catalysts:

- SpaceX reportedly valued at more than \$250bn in latest tender offer.** According to [Financial Times](#) and [Reuters](#), SpaceX is preparing to launch a December tender offer to sell existing shares at about \$135, valuing the company at more than \$250bn. We note SpaceX was previously valued at \$210bn during a similar tender offer in June. Based on our proprietary forecasts, this would value the company at ~17x Price/Sales (FY24e) or ~4x FY30e sales.
 - We note that SpaceX has not responded to these reports, and we have no direct knowledge of any internal valuations of the company. Morgan Stanley Research does not have any opinion on reported valuations and does not assign any valuation to the company.

Launch Events/Catalysts:

- SpaceX wins \$734m Space Force launch contract.** The US Space Force Space Systems Command [awarded SpaceX a \\$733.5m contract](#) to launch 9 national security missions over the next two years. 7 of these launches are associated with the Space Development Agency (SDA), which is actively building a constellation of missile detection and tracking satellites, while the remaining 2 are associated with the National Reconnaissance Office (NRO), which operates a constellation of military reconnaissance satellites. The wins showcase SpaceX's current dominance in orbital launch.
- SpaceX's Cargo Dragon re-boosts ISS as the complex nears its end-of-life.** In early November, [NASA and SpaceX completed a successful exercise](#) whereby the Dragon spacecraft docked at the ISS completed a 12-minute

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activation of its Draco engines, boosting the complex further into orbit to prevent a fiery descent back to Earth. The exercise had the dual purpose of testing the Dragon's ability to eventually de-orbit the ISS when it reaches its retirement date in 2030. SpaceX is building a custom Dragon spacecraft with 3x the engines of the standard Cargo Dragon to conduct the eventual de-orbiting.

- **SpaceX chosen to launch NASA's 'Dragonfly' rotorcraft to Saturn moon Titan.** [SpaceX was awarded](#) a \$256.6m fixed-price contract with NASA to provide launch services for the 2028 Dragonfly mission using a Falcon Heavy rocket. Dragonfly is a car-sized rotorcraft that NASA plans to launch to Saturn's largest moon, Titan, to survey for conditions supportive of hosting life.
- **Starship:**
 - **Starship Test 5 achieves all major objectives; Super Heavy Booster caught by launch tower 'chopsticks'.** SpaceX successfully completed the [fifth launch of Starship](#), achieving all major objectives. In particular, SpaceX successfully landed the Super Heavy Booster on the 'chopstick' arms of the 'Mechazilla' launch lower and later landed the Starship upper stage into the Indian Ocean near a pre-positioned buoy. The launch marked the first time an orbital-class rocket has been caught out of midair.
 - **Starship Test 6 marks the first test of the Raptor engines in vacuum and the first daytime 2nd-stage landing. A repeat attempt of the Super Heavy Booster catch was aborted mid-flight.** In prioritizing safety, SpaceX aborted the catch attempt of the Super Heavy Booster as the needed landing conditions (comms issue with the tower) were not met. However, for the first time, Starship successfully reignited its Raptor engines while in the vacuum of space, demonstrating its ability to deorbit. The later launch time (5pm EST) allowed for better visuals of Starship 2nd stage as it landed during daytime into the Indian Ocean. Starship was also flown at a higher 'angle of attack' than prior tests, putting pressure on the spacecraft as it descended back to Earth, intentionally and successfully stress testing the flap controls.
 - **The 7th test of Starship is expected January 2025.**

Starlink Events/Catalysts:

- **FCC Approves Starlink Direct-to-Cell (DTC) Operations.** On November 26th, the [FCC approved Starlink for direct-to-cell](#) operations on the 7,500 v2 satellites initially authorized in 2022. It also deferred SpaceX's request to operate an additional 22,500 v2 satellites. According to astronomer [Jonathan McDowell](#), there are currently ~320 DTC capable Starlink satellites in orbit. Starlink is set to roll out commercial-scale DTC operations, most notably with T-Mobile, [in early 2025](#).
- **Pentagon expands funding for its Proliferated Low Earth Orbit (PLEO) Satellite program to \$13bn.** After launching last year with an initial ceiling of \$900m, the [Defense Department has expanded the program](#) to \$13bn. The program is intended to provide high-quality, low-latency satellite

services for various stationary and mobile users across the US Army, Navy, Air Force, and Coast Guard. We note the US Space Force, under PLEO, is a primary customer of SpaceX's [Starshield](#), the militarized version of Starlink.

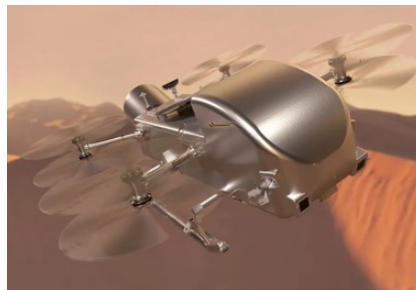
- **Qatar Airways conducts first Starlink-equipped 777 flight.** Qatar Airways began operating [the first Starlink-equipped Boeing 777](#) with a October 22nd flight from Doha to London. Onboard the flight, Qatar Airways CEO Badr Al Meer held a Starlink-supported video call with Elon Musk to celebrate the milestone. The airline expects to expand coverage to its entire 777 and A350 fleet by the end of 2025.
- **Starlink seeks security clearance to operate in India.** According [to India's Telecoms Minister](#), SpaceX is seeking Indian security clearance for a license to operate Starlink in the country. To receive it, SpaceX would need to prove that its signals are secure and that any data are stored locally. However, regardless of clearance, a license is far from guaranteed. Indian Telecom magnate Mukesh Ambani, the wealthiest man in India, has [actively lobbied the federal government](#) in an effort to delay or prevent Starlink entering the country.

Exhibit 1: The Super Heavy Booster of Starship Flight 5 in a landing approach near the Mechazilla launch tower



Source: SpaceX

Exhibit 2: NASA Illustration of the 'Dragonfly' rotorcraft to be launched to Saturn moon, Titan, in 2028. SpaceX will provide launch services using a Falcon Heavy rocket



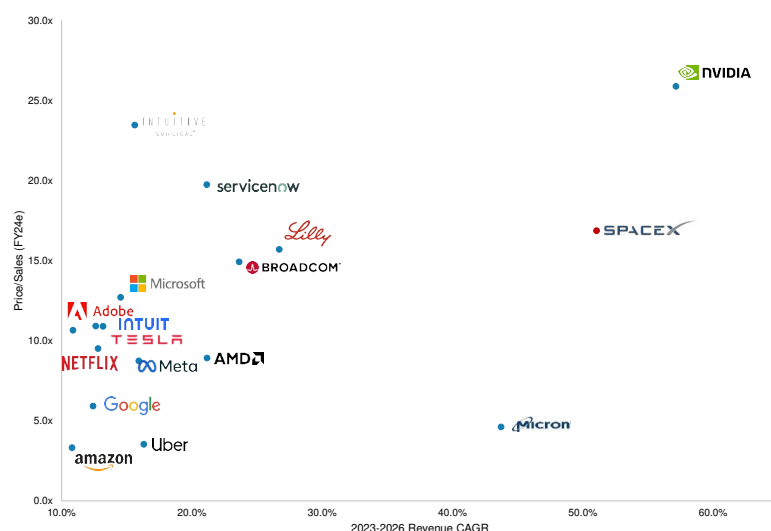
Source: NASA

Exhibit 3: SpaceX Market Value Scenarios and Implied Valuation Multiples based on MS Estimates (FT Reported Dec. 2024 Tender Offer Valuation Highlighted)

Market Value Scenario (\$bn)	Price/Sales (MSe)				Price/Earnings (MSe)		
	2024	2025	2030	2035	2024	2025	2030
50	3.4x	2.2x	0.7x	0.5x	44.0x	16.0x	3.4x
100	6.7x	4.4x	1.5x	0.9x	88.0x	32.0x	6.9x
150	10.1x	6.6x	2.2x	1.4x	132.0x	48.0x	10.3x
180	12.1x	7.9x	2.7x	1.7x	158.4x	57.6x	12.3x
210	14.2x	9.2x	3.1x	2.0x	184.8x	67.2x	14.4x
250	16.9x	10.9x	3.7x	2.3x	220.0x	80.0x	17.1x
300	20.2x	13.1x	4.5x	2.8x	264.0x	95.9x	20.6x
350	23.6x	15.3x	5.2x	3.3x	308.0x	111.9x	24.0x
400	27.0x	17.5x	6.0x	3.7x	352.0x	127.9x	27.4x
450	30.4x	19.7x	6.7x	4.2x	396.0x	143.9x	30.9x
500	33.7x	21.9x	7.5x	4.7x	439.9x	159.9x	34.3x
550	37.1x	24.0x	8.2x	5.1x	483.9x	175.9x	37.7x
600	40.5x	26.2x	9.0x	5.6x	527.9x	191.9x	41.1x

Source: Morgan Stanley Research estimates

Exhibit 4: SpaceX vs. S&P 500 Companies with >\$100bn Market Capitalization and >10% Revenue Growth (Using FT Reported \$250bn SpaceX Valuation)



Source: FactSet, Morgan Stanley Research

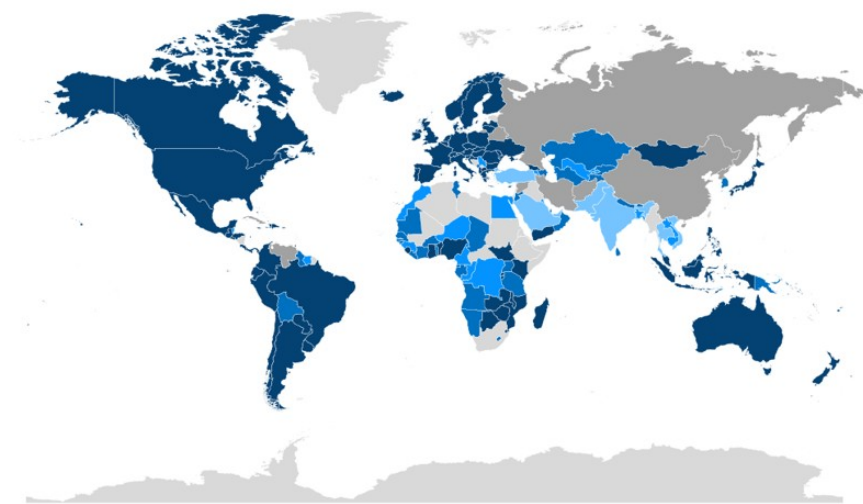
Note: 1) SpaceX shown at the most recent reported market valuation based on secondary offerings (\$250 billion); 2) Excludes Financials/Insurance companies; 3) Non-SpaceX market valuations and revenue growth sourced from FactSet as of November 26, 2024; 4) MS estimates used for SpaceX, while FactSet consensus estimates used for all others.

Updated Starlink and Launch Statistics:

- Since our SpaceX update note from last month (Oct. 7th):
 - Falcon 9 and Falcon Heavy successfully completed 24 launches, increasing the number of successful launches YTD to 118. There have been 411 total successful launches since the rocket's introduction in 2010.
 - To date, the number of working Starlink satellites in orbit has increased to 6,690, according to astronomer [Jonathan McDowell](#).
 - It is estimated that Starlink represents ~2/3 of all active satellites in orbit.

Exhibit 5: Current Global Starlink Availability Status

■ Currently Available ■ 2024 ■ 2025 ■ Pending Regulatory Approval ■ Unknown ■ N/A



Source: SpaceX/Starlink, Morgan Stanley Research

For further reading:

- [Space: SpaceX Completes 6th Test of Starship \(21 Nov 2024\)](#)
- [Space: SpaceX Update: Starlink Adds 1 Million Subs in 4 Months \(7 Oct 2024\)](#)
- [Space: SpaceX: Key Events & Catalysts \(4 Sep 2024\)](#)
- [Space: SpaceX: Prepare for Liftoff \(7 Apr 2024\)](#)
- [Space: SpaceX/Starlink Subs Reach a New Level \(22 May 2024\)](#)
- [Thematics: Venture Vision: The SpaceX-Factor \(9 Apr 2024\)](#)
- [Space: Stars Aligning in Space \(7 Jun 2024\)](#)

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Equal-weight/Hold	1736	46%	361	46%	21%	774	47%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	592	16%	77	10%	13%	236	14%
Total	3,747		790			1654	

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INDUSTRY COVERAGE: Aerospace

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/26/2024)
Kristine T Liwag		
AerCap Holdings NV (AER.N)	E (06/07/2024)	\$100.30
Boeing Co. (BA.N)	E (01/10/2023)	\$150.76
CAE Inc. (CAE.TO)	E (08/16/2024)	C\$32.45
Curtiss-Wright Corp. (CW.N)	O (08/06/2023)	\$375.05
FTAI Aviation Ltd (FTAI.O)	O (01/11/2024)	\$171.96
Heico Corp (HEI.N)	E (06/04/2024)	\$275.86
Hexcel Corp (HXL.N)	U (02/22/2024)	\$62.22
Howmet (HWM.N)	O (12/03/2021)	\$117.18
Joby Aviation Inc (JOBY.N)	O (09/23/2021)	\$7.90
Loar Holdings Inc (LOAR.N)	E (05/20/2024)	\$89.25
Moog Inc. (MOGa.N)	E (11/22/2023)	\$223.87
RBC Bearings Inc. (RBC.N)	O (12/03/2021)	\$339.97
Rocket Lab USA Inc (RKL.B.O)	E (07/15/2024)	\$25.44
RTX Corp (RTX.N)	E (07/26/2023)	\$120.61
Spirit AeroSystems Holdings Inc (SPR.N)	++	\$32.35
StandardAero Inc. (SARO.N)	E (10/28/2024)	\$29.37
Teledyne Technologies Inc. (TDY.N)	E (12/12/2022)	\$479.03
TransDigm Group Inc. (TDG.N)	O (09/10/2021)	\$1,262.61
Virgin Galactic Holdings Inc (SPCE.N)	U (11/22/2023)	\$7.01

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Cable/Satellite

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/26/2024)
Benjamin Swinburne, CFA		

Charter Communications Inc. (CHTR.O)	E (12/09/2021)	\$390.29
Comcast Corporation (CMCSA.O)	O (11/08/2018)	\$42.64
EchoStar Corporation (SATS.O)		\$24.87
Liberty Broadband Corporation (LBRDK.O)	E (12/12/2014)	\$85.32
Cameron Mansson-Perrone		
Sirius XM Radio Inc. (SIRI.O)	U (09/24/2024)	\$26.32
MaryAnne L Zhao		
Altice USA Inc (ATUS.N)	E (12/16/2020)	\$2.51

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.